



Auto Financing Strategy

Touchpoint on leasing opportunity

07th July 2025



Objectives of this meeting

- Discuss potential options to enter retail lease market
- Discuss pros and cons for the different options
- Agree on next steps

Executive summary

Work in progress

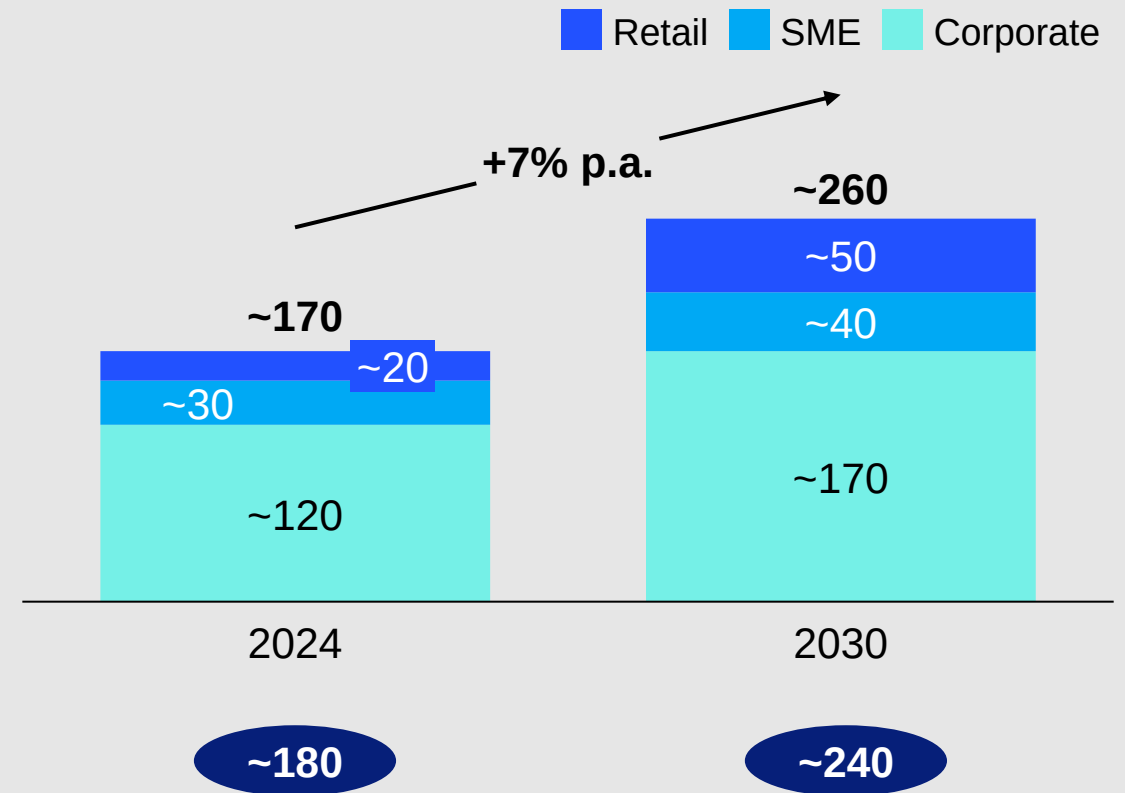
Operating lease is a burning platform ERB must address by 2030

xx # cars

Why Eurobank should go into the lease market...

- ERB holds a **leading position** in the **retail auto loan** segment with **~27% market share** today
- Market is **gradually shifting** from **ownership to usership**, and operating lease will start **cannibalizing the auto loan market**, reducing the serviceable market for Eurobank by **~10pp**
- **Retail and SME** will represent **~55%** of the total Greek auto finance market RAR by 2030
- The lease market will represent a **sizeable opportunity** of **~90M€** by 2030 for **retail and SME**, **doubling in size** compared to its current level

Leasing market evolution 2024-2030, RAR M€



ERB can embark on 2 potential journeys to tap in the operating lease market



Individual

x

RAR captured by ERB, cumulative



SME



Corporate

2025-2027

~2M€

2028-2030

~14M€

Beyond 2030

TBD

1

Develop financial and operating lease organically

Launch financial lease for individuals and SMEs

- Develop a **financial lease** product for **individuals and SMEs** in-house
- Design and **cross-sell services and insurance packages** on financial lease **via dealer networks**
- Start building **RV mgt., remarketing and customer service** capabilities

Extend capabilities to tap into retail operating lease

- Naturally **embed services and insurance packages** to create an **operating lease product**
- Upgrade **capabilities organically** on **RV mgt., remarketing, customer service**
- Build a **salesforce** to address **SMEs**

Evaluate expanding to corporate operating lease

- Develop **fleet management capabilities organically** to address **additional opportunity on corporate**
- Build on **current SME salesforce** to address **corporate** (direct sales)

2

Set up a JV for operating lease with a SME & corporate-focused LeaseCo while developing financial lease in-house

Launch operating lease for individuals with JV

- Create a JV with LeaseCo to offer **operating lease for individuals on current ERB dealer networks leveraging partner capabilities**
- Develop a **financial lease** product for **individuals and SMEs** in-house, **cross-selling via dealers for services and insurance packages**

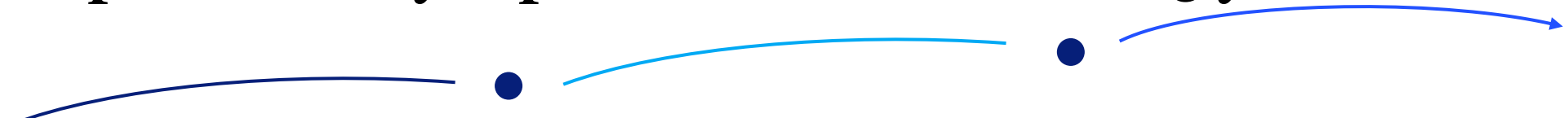
Expand JV to SME & corporate ERB customer base

- Leverage partner's **fleet management capabilities** to expand to **corporate segment**
- Deploy partner's **operating lease product** to **existing ERB corporate customer base**

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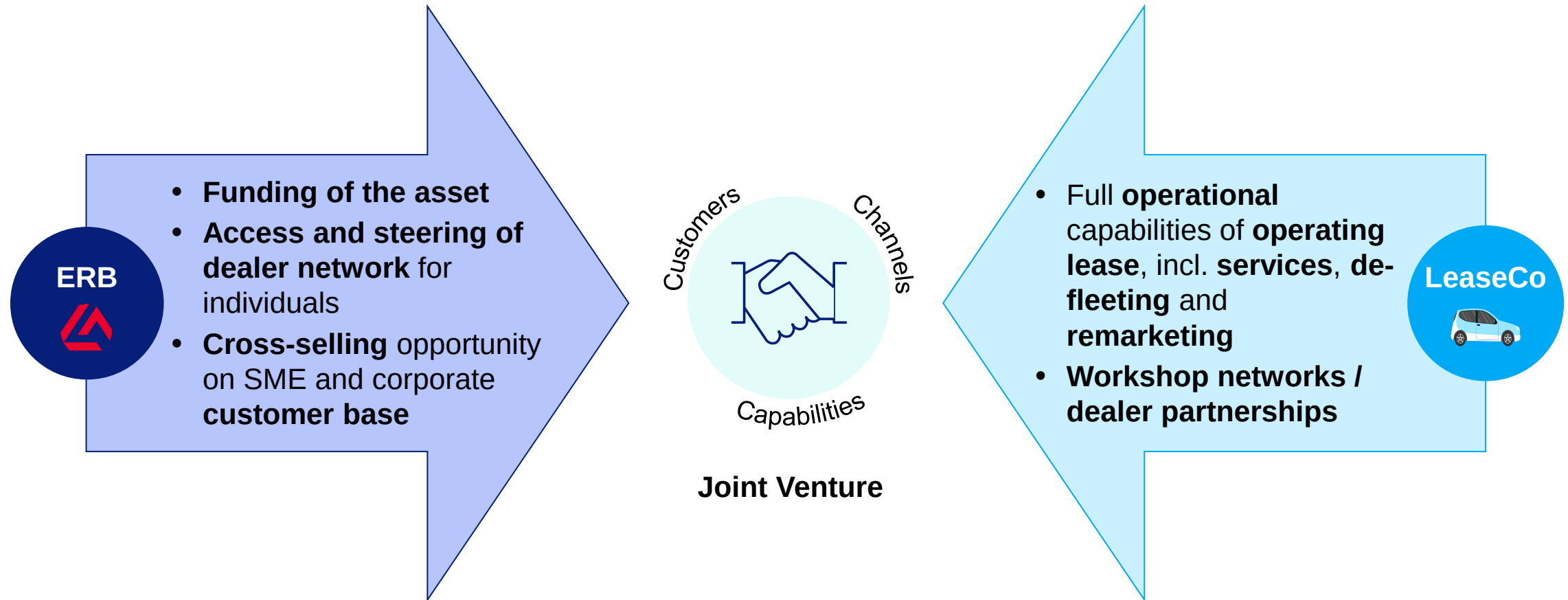
- Entering the operating lease market **through M&A** has been evaluated but **no viable target in the Greek market has been identified**
- Developing a **standalone organic operating lease** offering required a **high level of FTEs to hire and deep capabilities to develop**

1 | Developing financial and operating lease organically will require ERB to develop a set of key capabilities over the next 5 years



Category	2025-2027	2028-2030	Beyond 2030
Internal IT build	Develop of a simple pricing module on top of existing credit pricing model (linear depreciation of the car value)	- Build technical pricing model (maintenance, repairs, RV, discount, funding) at brand x model level - Build RV model at brand x model level and adapt risk appetite framework of the bank with new risk	Develop fleet management capabilities organically to address additional opportunity on corporate
FTE hire and know-how	Develop car procurement capabilities to buy the car at a discount	- Build a salesforce to address SMEs - Train (or dedicate) a team for contract customer service (e.g., contract inquiries, after sales, contract mgt. operations) - Train (or dedicate) a team for collection and receivables - Dedicate (or setup) a team to steer the SLAs with the dealers	Build on current SME salesforce to address corporate (direct sales)
External Capex	Buy RV data from external quoters and set up a dedicated risk governance	- Buy a core leasing system to manage contract management, workflow and de-fleeting process (e.g., car return, inspection) - Buy a remarketing tool and setup a remarketing channel strategy (which car on which channel)	n/a

2 | ERB and the LeaseCo could each bring a specific contribution to the JV under a new operating model



Preliminary assessment of the two strategic journeys for 2030

! Not accounting for upside on Corporate

 Low

 High



Strategic journey

RAR

Capex

Target market

Time-to-market

Pre-requisites

Feasibility

1

Develop financial and operating lease organically



Value at stake **fully captured by ERB**



Several tools to buy (e.g., contract mgt. system)

IT build for internal model development (e.g., RV, pricing)



Fair share for each segment **captured by ERB**



Timely to **develop product in-house** due to **deepness of capabilities required** (e.g., RV, pricing, remarketing)



Develop a BU with **~40-50 dedicated FTEs** and **asset management capabilities** (i.e., sales team, pricing, RV mgmt., re-marketing)



High execution risk with selected examples of successful banks grown **organically** (e.g., Huk-Coburg)

2

Set up a JV for operating lease with a SME & Corporate-focused LeaseCo while developing financial lease in-house



Value at stake **shared with partner**



No significant Capex as JV will leverage **partner's existing capabilities**

Potential **legal costs** to **set up JV**



Small share of **SME and corporate** clients of ERB **targeted in JV**, as potential **overlap with partner clients**



Easier to **penetrate market** with **existing player offering**



Funding of the lease contracts in the **JV**

- Depending on partner -

Strategic fit dependent of partner's interest in **accessing ERB's dealer networks** on **individuals** and **SMEs** and ERB's **corporate customer base**

1. Sum of opportunity on financial lease for individuals and SME and opportunity on operating lease for individuals through the JV (equal profit-sharing scheme in the JV)

Appendix

Profit before tax potential for each option

	①	②
	Develop financial and operating lease organically	Set up a JV for operating lease with a SME & corporate-focused LeaseCo while developing financial lease in-house
ERB fair market share ¹ , #cars	~ 12k cars (operating lease) + ~ 5k cars (financial lease)	~ 7k cars (operating lease) + ~ 5k cars (financial lease)
RAR ² per car for operating lease, 2030	~ 1,070€	~ 430€
Total RAR, 2030	~ 14M€	~ 6M€
Opex ³	(1-2)M€	(~ 1-2)M€
PBT ⁴	~ 11-13M€	~ 4-5M€
Capex	TBD	-

Same level of Opex as option 1 despite lower number of FTEs due to partner SLA recharges to the JV

1. 80/20 mix of operating/financial lease in market ; 2. Weighted average on return after risk per year for new and used car: ~1,000€ for New Auto in 2024 and ~550€ for Used Auto ; 2.5% inflation p.a. from 2024 through 2030 ; Option 1 operating lease: Full value captured, incl. ~20% expected margin on maintenance, repairs and tires ; Option 2 operating lease: ~40% lease contract financing, commission on remarketing ; Financial lease: ~30% of contracts upsold with services unlocking services margin for which ERB takes a ~30% commission, ~20% of customers not exercising their buying option unlocking UCS margin ; 3. Staff, G&A and D&A expense estimated based on FTE benchmarks per function in a traditional LeaseCo ; 4. Profit before tax defined as RAR (-) Opex

FTE requirements for each option

Responsibilities		1	Develop financial and operating lease organically	2	Set up a JV for operating lease with a SME & corporate-focused LeaseCo while developing financial lease in-house
Product mgt.	Pricing and RV mgt.	~5-6	Aligned with benchmarks for similar fleet size	-	Managed by LeaseCo
	Procurement	~3-4	Car purchase and mgt. of dealer partnership on services	~3-4	Car purchase and mgt. of dealer relationship on services
Sales	Dealer channel sales	~1-2	Leveraging existing external channel teams at ERB	~1-2	Leveraging existing external channel teams at ERB
	SME direct sales	~5-6	New salesforce to put in place as SMEs are addressed with direct sales	-	Managed by LeaseCo
Contract	Financing (credit)	~2-3	Aligned with benchmarks for similar fleet size	~2-3	Aligned with benchmarks for similar fleet size
	Customer service	~10-12	In charge of contract inquiries, after sales, and contract mgt. operations	-	Managed by LeaseCo
	Insurance / Claims mgt.	~2-3	Typically outsourced	~2-3	Typically outsourced
Support functions	Accounting	~4-5	Aligned with benchmarks for similar fleet size	-	Managed by LeaseCo
	Collection	~2-3	Aligned with benchmarks for similar fleet size	-	Managed by LeaseCo
Services	Services	-	Managed by dealer	-	Managed by LeaseCo
After sales	De-fleeting	~2-3	SLA team managing contract with de-fleeting company	-	Managed by LeaseCo
	Remarketing	~2-3	Taskforce in charge of defining remarketing strategy	-	Managed by LeaseCo
Total		~40-50		~8-12	

Critical Capex requirements to launch operating lease in-house

Capability	Description	Recommended go-to-market strategy	Typical providers	High-level estimate of Capex
Contract management	Core leasing system to manage contract management, workflow and de-fleeting	 Buy tool	Miles sopra Alfa [^] Linedata	TBD
Pricing	Pricing and quotation engine to build a technical price at brand x model level	 Develop model in-house	n/a	TBD
RV management	RV model at brand x model level fed with depreciation data from quoters	 Buy data and develop model in-house	cap hpi Eurotax Part of Autovista Group JATO DAT GROUP	TBD
Remarketing	Remarketing tool to manage remarketing channels and overall remarketing strategy	 Buy tool	TBD	TBD
Total				TBD

Potential M&A opportunities to enter the retail leasing market

LeaseCo	Business model	Key KPIs				Strategic fit with ERB vision	Feasibility of potential strategic investment for ERB
		Revenue	PBT	Fleet size	# FTEs		
spot  wheel	Dual business model Digital used-car dealership platform Operating leasing provider	TBD	TBD	TBD	~250 FTEs	 Direct competitor of ERB current dealer network through used car sales	 Potential IPO anticipated as the company recently completed a +100M€ Series B highlighting its focus on growth
instacar	Mobility leasing and subscription provider	TBD	TBD	~600 cars	~120 FTEs	 Active in operating leasing with ~40% of customer base retail & SME	 ~38% stake currently held by Vassilakis Group, with intentions to expand ownership and secure majority control (>50%)
FlexCar	Mobility leasing and subscription provider	TBD	TBD	TBD	~180 FTEs	 Active in operating leasing with ~30% of customer base retail & SME Smaller dealer groups, suggesting limited scalability potential	 +150M€ equity funded by VC, implying high expected returns and costly payback